

is put into an annuity fund, and the agency(LIC) will pay the member monthly/quarterly/periodic annuity returns depending on the option exercised by the member. This payment, received regularly, is taxable.

In case an employee resigns, the employee has the option to transfer the amount to the new employer. If the new employer does not have a superannuation scheme, then the employee can withdraw the amount in the account, subject to deduction of tax and approval of the IT department, or retain the amount in the fund, till the superannuation age (58 years).

Retirement benefits (EPF, VPF, NPS, Gratuity, Superannuation)

All the retirement benefit plans, whether EPF, VPF, NPS, gratuity or superannuation, seem like simple and traditional ways to block your money. The fact remains that these benefits are hardly understood by today's generation.

To me, they are an excellent source of wealth accumulation for beginners on to the journey to financial freedom. Not only do they force you to put some money into a corpus every month, they discourage you to break the benefits that compounding money has to offer you.

This is an ideal start up strategy for any one starting new in this journey. This builds a very strong foundation on which to build massive wealth.

As you see your money grow and as you see the benefits of compounding, you are likely to realize that the goal of financial freedom is more achievable, of course with the required commitment, dedication, discipline and perseverance.

Compounding is one concept which doesn't hit you unless your time is right. But once it does, it changes your outlook towards life and towards money...forever.

One such incident in my life led me to realize the immense power of compound interest. I had gone to State Bank of India to have my PPF passbook updated. In those days accounts like PPF were not available